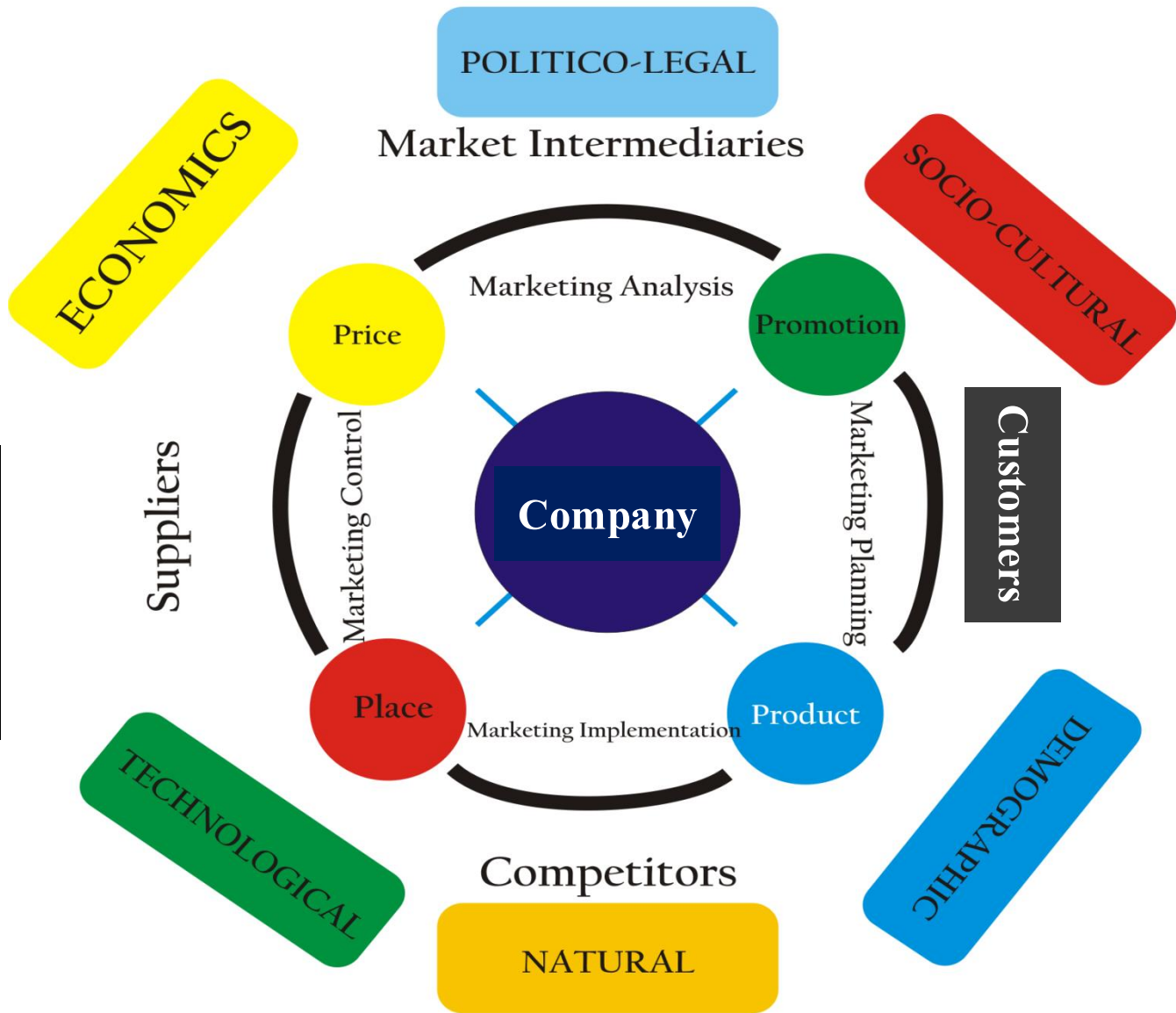
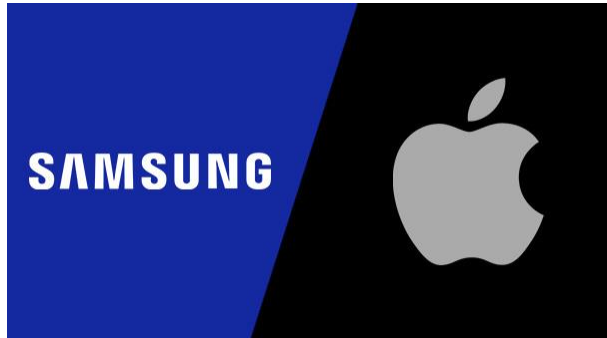


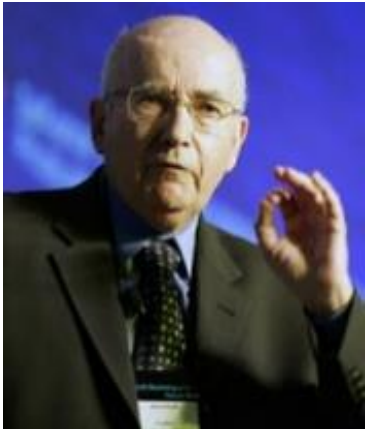


Marketing Environment and Adaptation

A World of Chaos

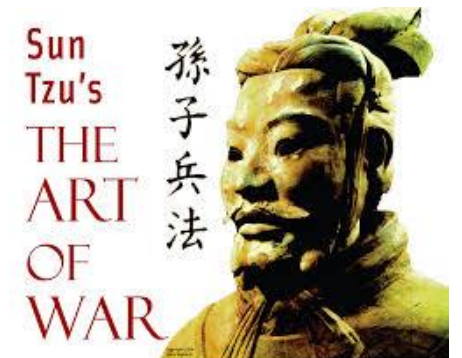
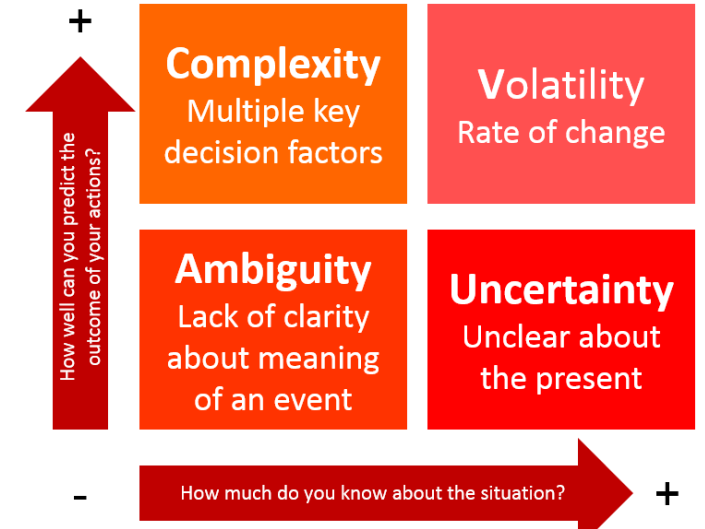
We live within a society that is:

- Context is continuously evolving, fast paced
- Consumers
 - More informed, demanding
 - Preference changes easily, less loyal, seek instant gratification
 - More alternatives, empowered
- Competition is rife
- Companies
 - Have to evolve and accommodate new marketplace challenges and opportunities, or die



“Within 5 years, if you run the business in the same way as you do now, you will be out of business”

VUCA



*Know others
Know yourself
A hundred battles
A hundred victories*

The world doesn't wait for your strategy to catch up.



Spot opportunity before competitors do

The brand that reads a trend 6 months early gets first-mover advantage. The one that reads it 6 months late plays catch-up. Outside saw the dairy-free gap before any major Thai brand did.



Avoid being disrupted

Kodak had the best cameras. They missed the photography-goes-digital trend. Blockbuster had the best stores. They missed the streaming trend. Trends don't ask permission.

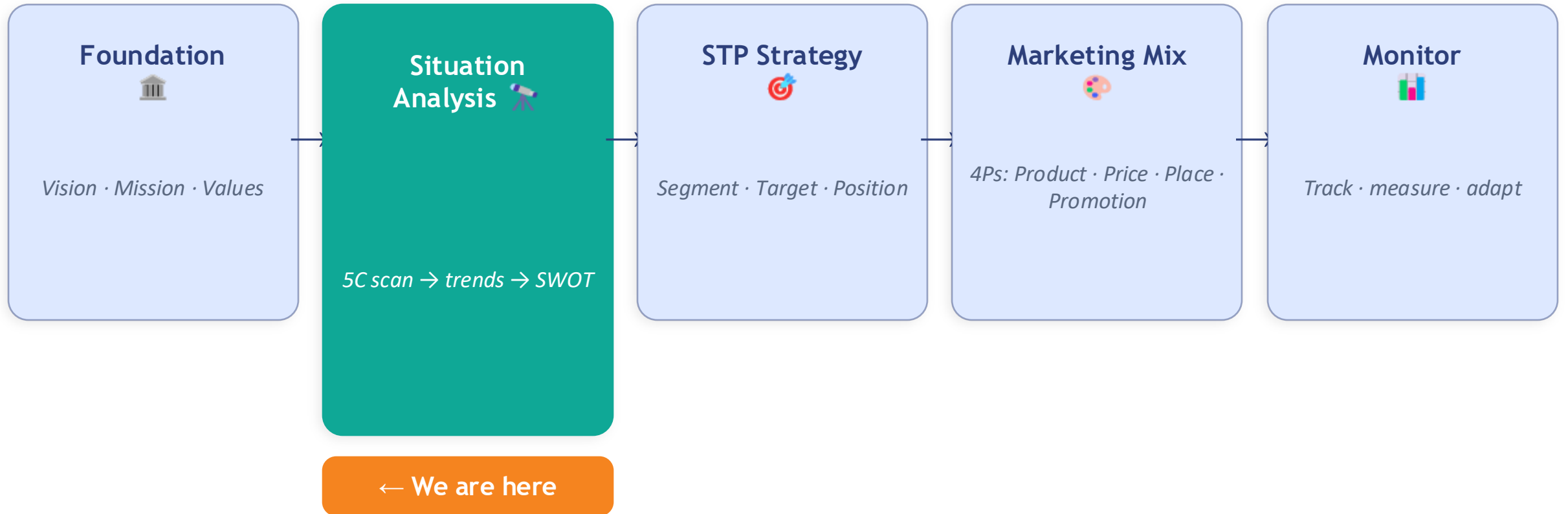


Make marketing decisions with evidence

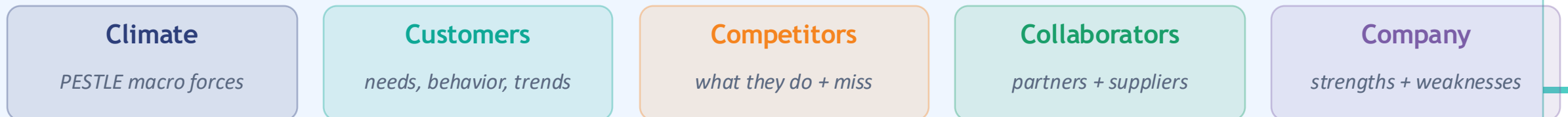
Trend analysis is what separates a marketer who says 'I think consumers want this' from one who says 'here's the data showing consumers want this, and here's what we should do about it.'

Marketing Planning Process

Situation and trend analysis : a strategic compass captures today's reality with tomorrow's shifts to build a proactive roadmap.



The 5C scanning map:



IKEA's Business Model

Vision (future goal/impact): Create a better every life for many people

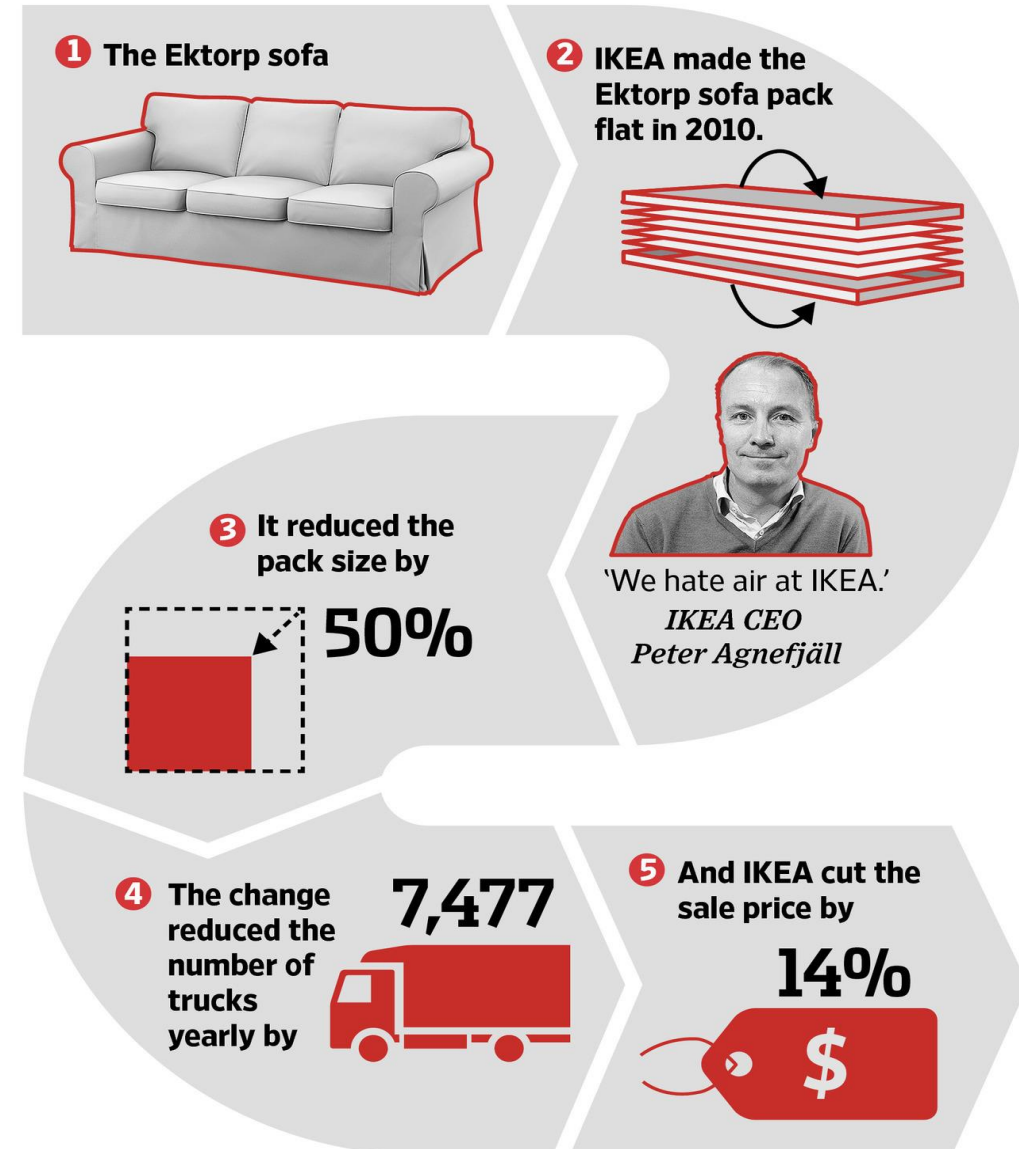
Mission (what/how do we do, for whom): To offer a wide range of well-designed, functional home furnishing products at prices so low that many people will be able to afford them

Original Business model (i.e. core strategy for profitably doing business)

- Source right materials
- from producers not part of furniture manufacturing
- Furniture sold in flat packages
 - save space, easy to handle and transport, reduce costs
- Customer become part of production process
 - DIY idea on a large scale. We do a little, you do a little, together we save money'
- Use minimum employees
- Large IKEA stores built on the outskirts
 - for cheaper rent and large parking space

How IKEA Dismantles Costs

The Swedish furniture giant has sought new efficiencies in manufacturing, packaging and transport, allowing it to boost revenue even as it cuts consumer prices.

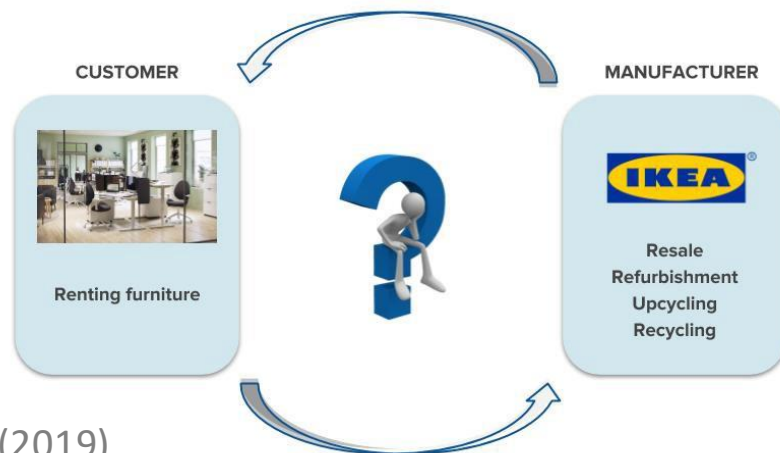


IKEA's current and future model



- Changing environment: customer expectation, online shopping, sharing economy, sustainability
- Current and future business model
 - Ikea's shift on giving customers more choice in terms of delivery or help with assembly e.g. click and collect points
 - The push to sell through e-commerce and online retailers e.g. Amazon, Alibaba
 - Furniture rental subscription model and second hand furniture program, as part of the goal to go fully circular by 2030.
 - Commitment for sustainable consumption e.g. use only renewable/recycled materials by 2030, remove single-use plastic products by 2020, offers home solar solutions by 2025

Is Ikea's Rental Model Sustainable?

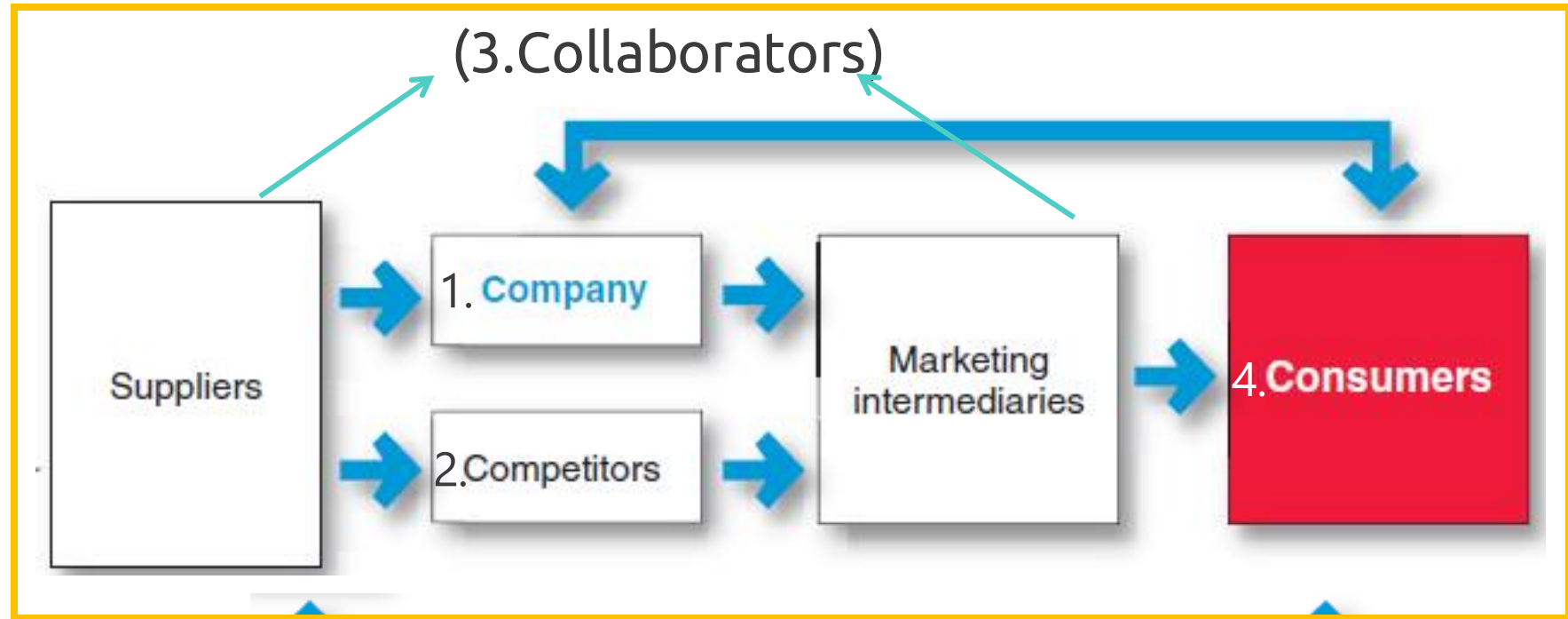


Environmental Scanning

The study of the organizational environment to identify factors that affects its capability to operate effectively in providing products/services to its customers

Micro environment

The actors in the company's immediate environment



Macro environment (5.Context/Climate)

The broad forces that affect not only the company but also the other actors

5C

Macro Environment Analysis

PESTLE framework: Factors **beyond the control of the business** that drive and shape market trends and consumer behaviour.



P
E
S
T
L
E

POLITICS	- Government type and policy - Funding, grants and initiatives
ECONOMY	- Inflation and interest rates - Labour and energy costs
SOCIAL	- Population, education, media - Lifestyle, fashion, culture
TECHNOLOGY	- Emerging technologies, Web - Information & communication
LEGAL	- Regulations and standards - Employment law
ENVIRONMENT	- Weather, green & ethical issues - Pollution, waste, recycling



IKEA – Macro Environment

- Political**
 - Higher import taxes put IKEA at a disadvantage in competing with Indian rivals.
 - IKEA shut down stores and will sell factories, and reduce workforce in Russia
- Economic**
 - IKEA will raise prices across the group by around 9% on average, due to transport and raw-material constraints and costs.
- Social**
 - Diversity of family types (kids, aging, LGBT, solo) . Shopping habit change leads to a small, city format. To support healthy living, IKEA will offer 50% plant-based food by 2025.
- Technological**
 - AI-powered MR: Ikea Kreativ's Scene Scanner feature lets you scan a room using Ikea's iOS app, erase your existing furniture, and then place virtual furniture in its place.
- Environmental**
 - The newly launched IKEA Forest Positive Agenda for 2030 increases its efforts towards improving forest management and enhancing biodiversity globally
- Legal**
 - EU sets Eco-design for sustainable products regulations (ESPR) for the circular economy and introduces digital product passport



***Note: as a global firm, IKEA has to be aware of external factors in all countries they operate in**

Guiding questions for PESTLE analysis

Factor	Key Questions
Political	- Are there laws, policies, or political changes affecting this industry? - How stable is the political environment?
Economic	- What is the impact of inflation, employment, or income trends? - How do economic conditions affect consumer spending?
Social	- Are there shifts in demographics, lifestyle, or cultural values? - How do social norms or behaviors affect demand?
Technological	- What emerging technologies may disrupt or benefit this industry? - How are customers using digital tools or platforms?
Legal	- What regulations govern this brand's operations (e.g., labor, safety, IP)? - Are there recent or upcoming legal changes to consider?
Environmental	- Are there pressures for sustainable or eco-friendly practices? - How might climate or environmental risks impact operations?

Where to Find the Data: Sources for Scanning

Don't guess. Look for evidence across macro and micro levels.



MACRO Sources (PESTLE)

Broad societal, economic, legal, and technological shifts.

- **Trend & Strategy Reports (S/T)**
 - *McKinsey, Bain & Co., WGSN (Lifestyle).*
 - *Pinterest Predicts / TikTok Trends.*
- **Demographic Data (S)**
 - *Statista, Pew Research, Gov Census data.*
 - *(Look for: Aging populations, household size).*
- **Economic Outlooks (E)**
 - *IMF, World Bank, Central Bank reports.*
 - *(Look for: Inflation rates, consumer confidence).*
- **Technology Radar (T)**
 - *Gartner Hype Cycle, Wired, TechCrunch.*
- **Legal & Regulatory Monitors (L/P/E)**
 - *Government Gazettes & Regulatory Bodies (e.g., EU Commission, FDA).*
 - *Trade Association Newsletters (They track upcoming industry laws).*
 - *NGO Reports (e.g., Greenpeace on future environmental standards).*

EXERCISE 1

Macro Scan: Your PESTLE factor x McDonald's

Each group gets ONE factor. Scan it deeply for McDonald's Thailand - not all six shallowly.

P

Group 1

E

Group 2

S

Group 3

T

Group 4

L

Group 5

E

Group 6



1. What is happening in your factor?

What changes, events, or conditions are affecting McDonald's Thailand right now?
Look at news, government announcements, industry data, your own observation.
Write the specific change — not a category label.



2. What is your evidence?

Where does your finding come from? Name it.
Data, a news article, a law, a report, something you observed.
No evidence = not a finding. 'Everyone knows this' is not evidence.



3. 1 Threat for McDonald's

If McDonald's ignores this change — what is the risk?
Be specific to McDonald's, not fast food in general.



4. 1 Opportunity for McDonald's

If McDonald's acts on this change — what could it gain?
Specific to McDonald's — not generic.



The marketing environment:

Actors and forces that affect a company's capability to operate effectively in providing products and services to its customers.

Macroenvironment

The broad forces that affect not only the company but also the other actors in the microenvironment.

Microenvironment

The actors in the company's immediate environment that affects its capability to operate effectively in its chosen markets.

Customer Analysis

Brand often get failed in the marketplace because they could **not satisfy their customers**

Who

- Who use, buy the product?
- Who influence the purchase?
- Market size, growth

What

- (unmet) Needs, Wants, (unsolved) Problems
- Benefits they seek, relative importance of each benefit
- Perception toward the product, brand

How

- What, how, how often, when, where do they use?
 - Criteria used in making a decision
 - Contact points to reach customers
-

IKEA – Customer analysis



Market Research

Engages in a continual cycle of market research

- In different life stages
 - First home, get married, have kids, retiring age
- Using various techniques
 - Home visit interviews, Life at Home surveys, interviews with experts
- To find out
 - consumer lifestyles, dreams, challenges
 - how they feel about their home, what they typically behave, what struggles they have, and how they try creating a better life at home for themselves.
 - relationship problems due to family members' different needs, tastes and expectations.
 - benefits consumers seek from a range of household furnishings
 - consumer perceptions of existing products

Each year, IKEA co-workers do hundreds of home visits. So far, we have collected insights from over 5,300 home visits across the globe.

IKEA's product offerings not only need to fit timely within these lifestyles, but also and more importantly, need to improve them.

keeping hold of personal possessions yet having little storage is an issue for many households

64% of people that participated in IKEA Life at Home research say they would rather live in a small home in a great location than in a big home in a less ideal location.



Competitor Analysis

More often, they get failed because they **couldn't understand and beat the competitors**

Who are your competitors?

- Any org. that satisfy your customer's needs now and in the future
- Target competitor: the one you expect to win

What do they want?

- Business objectives: profit, market share
- Market they address

What can they do?

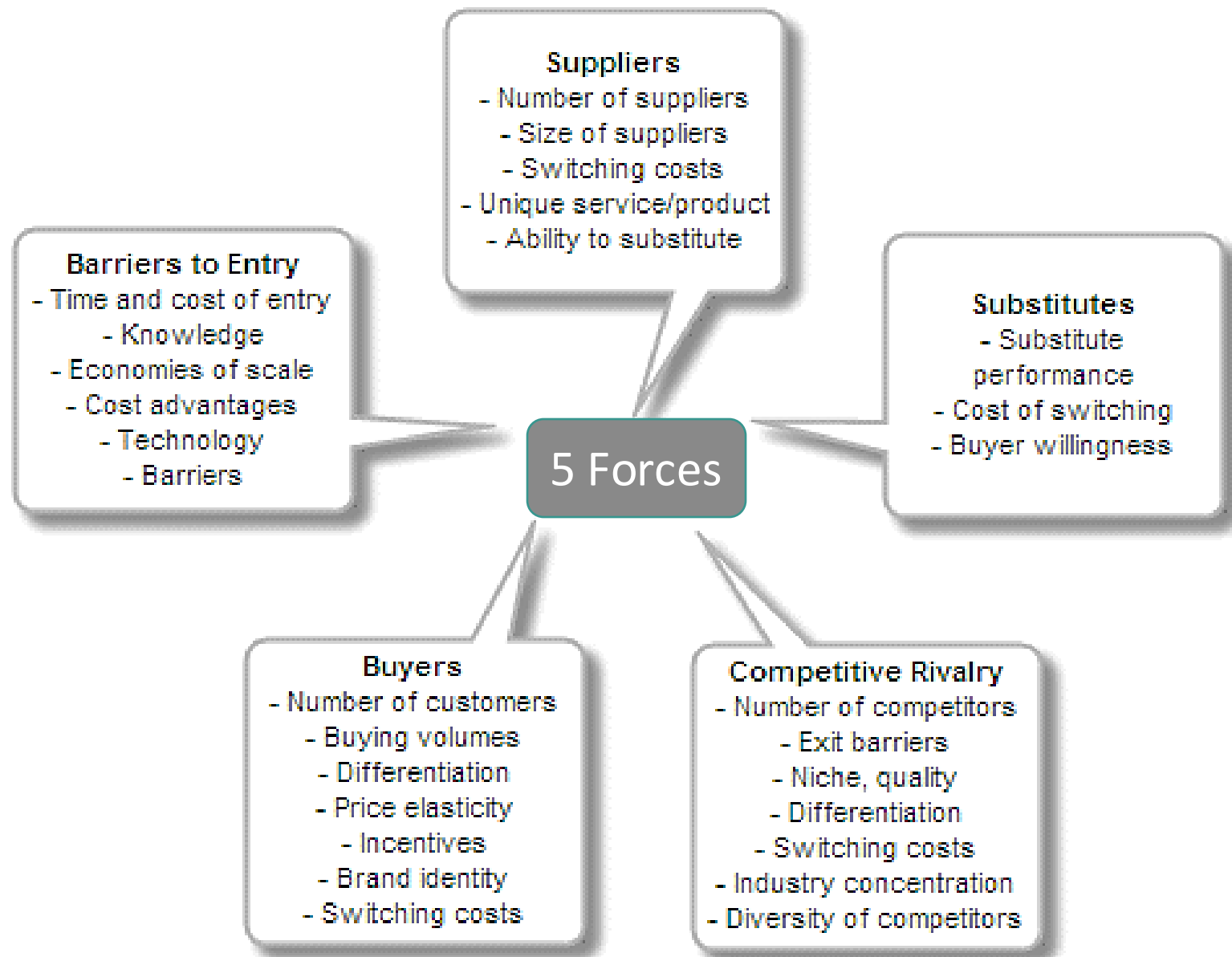
- Evaluate their offerings, their strategies, strength & weakness

What will they do?

- Predict what they do next and how you should respond to them

Competitor information: observation, ask customer, read news, product testing

Porter's Five Competition Forces Model



*"WE ACTUALLY COMPETE
WITH SLEEP. AND WE'RE
WINNING!"*

REED HASTINGS, NOVEMBER 2017

NETFLIX



'At Netflix, we are
competing for our
customers' time, so our
competitors include
Snapchat, YouTube,
sleep, etc.'

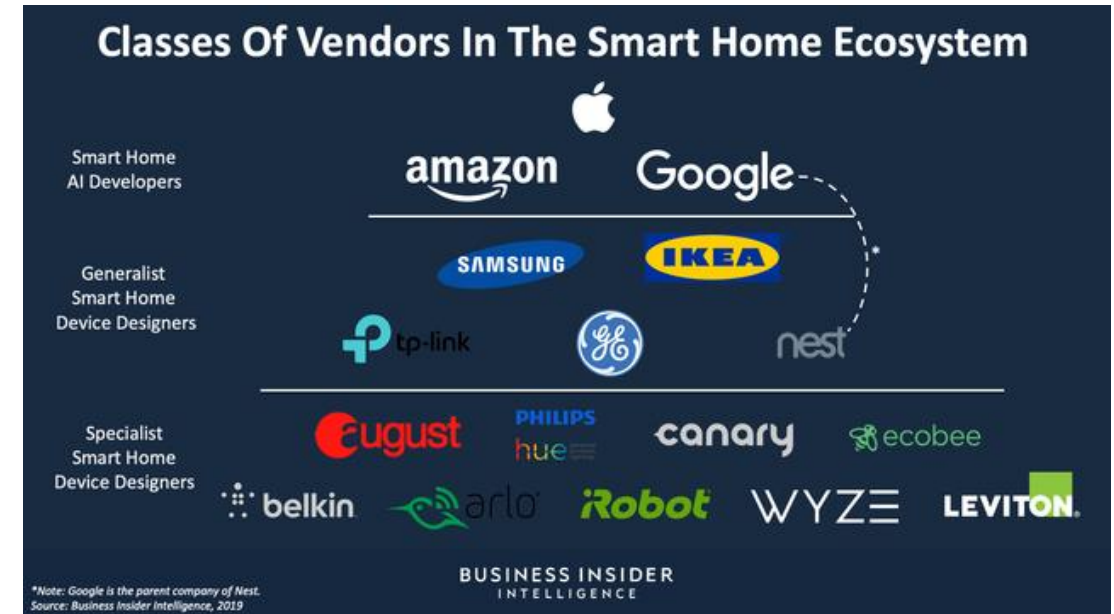
—Reed Hastings, Netflix CEO



IKEA – Competitor analysis



Wayfair, Amazon, and Walmart are key competitors as they offer products at a competitive price point and have powerful e-commerce and logistics capabilities.



- IKEA is expanding its range of smart home devices, which currently includes smart light bulbs, plugs, and other connected devices to automate home control.
- IKEA's large retail base and low-cost smart home options could put the company in a position to establish a presence in the connected home market and supply a variety of devices consumers will actually use.

Where to Find the Data: Sources for Scanning

Don't guess. Look for evidence across macro and micro levels.



MICRO Sources (5C)

Specific shifts with customers, competitors, and immediate industry.

- **“Social Listening” (Customer)**
 - *Reddit threads, TikTok comments, Twitter/X.*
 - **Pro-Tip: Read 1-star Amazon reviews to find pain points.*
- **Search Behavior (Customer)**
 - *Google Trends (Compare keywords over time).*
 - *(Look for spikes in specific questions/problems).*
- **Competitor Surveillance**
 - *Meta/TikTok Ad Libraries (See live ads).*
 - *Annual Reports (Read the “Risk Factors” section).*
- **Industry Proxies (Context/Collaborators)**
 - *Supply chain news & logistics reports.*
 - *(Look for rising shipping costs or material shortages).*

Fact → Insight → Action

The chain that turns a scan finding into a marketing decision



FACT · What's happening?

From your PESTLE scan or 4C observation.
Be specific — name the factor + cite evidence.

Not: 'wellness is trending'

Yes: 'Social factor — Thai Gen Z spending on mental health services up 40% YoY (Statista 2024)'



INSIGHT · So what?

Connect to your customer or brand.
Does this help or hurt?

Not: 'this is a big opportunity'

Yes: 'Cafés are now competing with therapy spaces + co-working — not just other cafés'



ACTION · Now what?

One concrete brand response.

Product · Service redesign · Campaign

Not: 'improve the experience'

Yes: 'Launch work-corner zones + all-day ฿ 299 pass inc. 2 drinks — target university students'

Common mistakes to avoid:

Fact without evidence ('people like wellness') · Insight without connection to the brand ('this is important') · Action that's too vague ('improve the product')

Trend spotting

Trend: the direction or pattern of change in the external environment that can affect the way people behave and the way the business operates

Time Horizon	Consumer trend - a shift in how <i>people</i> think, feel, behave, or make decisions.	Industry trend - a shift in how <i>businesses</i> operate, compete, or create value.
Megatrend 10-50+ yrs global Aging population, declining birth rate, urbanization, climate change, digitalisation	Aging population changing what people buy and value	Healthcare and financial services restructuring entirely around elderly needs
Macro trend 5-10 yrs industry Wellness economy, experience economy, rise of east asia, sustainability movement, creator economy, AI in daily life	Thai Gen Z prioritizing mental wellness over status	Wellness apps, therapy platforms, corporate mental health benefits booming
Micro trend Months-3yr niche Loud budgeting, pet humanization, solo traveller, quiet luxury	Young Bangkokians doing cold plunge for recovery	Gyms adding recovery zones, ice bath rental startups emerging
Fad Weeks viral only Fidget spinners, Squid Game costume, Butter bear queuing behavior, Dubai chocolate	Everyone trying a specific viral diet for 3 months	Brands rushing out product lines to capitalise, most discontinue within a year

- **For Long-Term Planning:** Tracking **mega, macro trends** is crucial for long-term strategic planning, ensuring the brand stays aligned with future societal and technological shifts.
- **For Immediate Actions:** Monitoring **micro trends** is more useful for immediate product development, marketing strategies, and customer engagement.

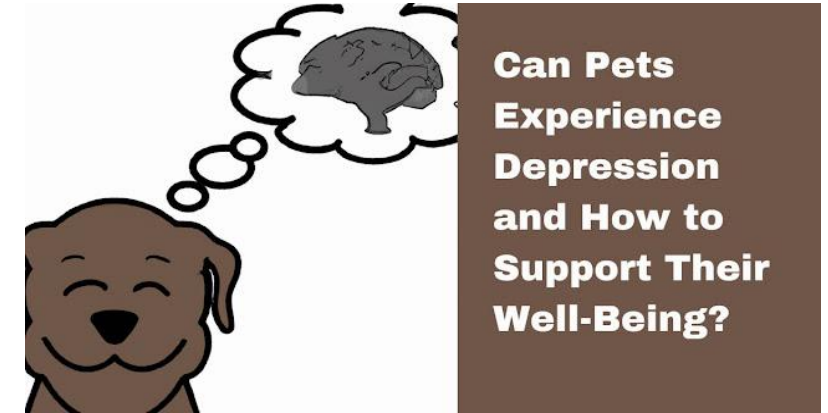
Consumer trend

- **Hybrid living**, not only for work and studying but also for socializing and entertaining, leading to houses becoming multi-functional spaces
 - Easy, affordable Innovative solutions to transform a space (e.g. curtains for privacy, a tabletop attached to a shelving unit, tall plants to separate areas, easy-to-move multi-purpose furniture, and home smart solutions with the touch of a button)
 - People continue to prioritise their outdoor living spaces to provide flexibility for working, entertaining and relaxing. A backyard or balcony, indoor green living plants, relaxation areas, and privacy will help with well-being and rebalancing the home.
 - The growing desire for storage solutions to keep the home clean and organised

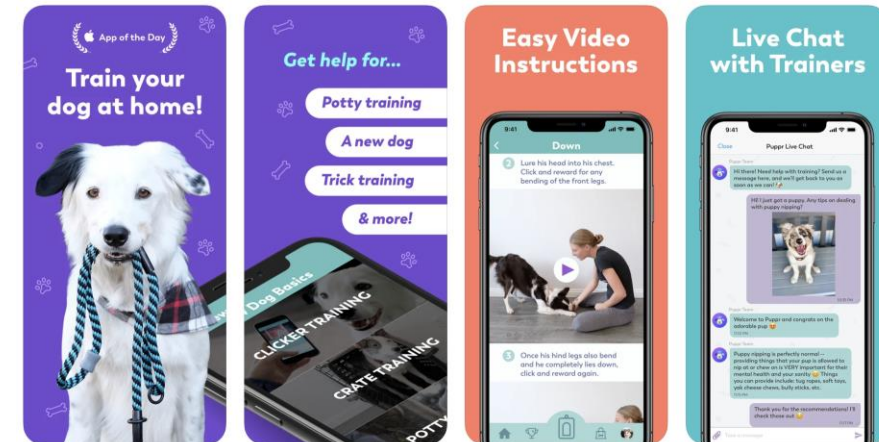
Industry trend

- IKEA Keep up with design, art, and fashion by visiting furniture fairs across the world
- In furniture market, neutral tones, greys and terracotta hues are key colours this year. Natural materials, furniture with textures, handmade products are totally trending. IKEA has a lot of items created by skilled craftsman with fair wage and environmentally friendly production process.
- To address people's desire for change in the house. IKEA augment simple, ageless furniture with inexpensive, easy-to-swap textiles and accessories and temporary collections with fashion designers

Example: Industry: Pet Products & Services



Type	Trend
Consumer Trend	Pet Mental Wellness – Pet owners are increasingly concerned about their pets' emotional well-being. Demand is growing for calming treats, aromatherapy, music therapy, and enrichment toys.
Industry Trend	Smart pet product category emerging — talking buttons, AI play tools, remote cameras entering mainstream retail
Market gap	no one has yet combined the wellness product category with a tracking and feedback loop that tells owners whether their pet's emotional state is improving.
Brand Opportunity	New product: Launch a “Mind & Mood” wellness kit: monthly box combining calming supplements, sensory toys, and access to a digital pet behavior coach. Include an app with tracking + bonding activity tips. Service redesign (e.g. vets adding behavioural consultations) Repositioning (e.g. a pet food brand adding a wellness sub-line)



EXERCISE 2

Micro Scan: Consumer and industry trend

Your group's own industry - find one shift, describe it from both sides, propose how businesses should adapt.

Real marketer's job: consumer insights analyst or brand planner. Your output = a trend briefing that tells the brand team what is shifting and what to do about it.



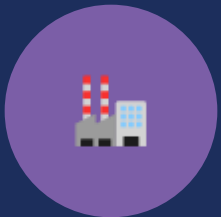
1. Choose your industry

Coffee shop, Fast fashion, Hotel, Gym, Spa, Bookstore, Streaming, Food delivery
Pick something your group knows and finds interesting.



2. Find the consumer trend

What are people doing differently in this industry right now?
Use TikTok, IG, Google Reviews as evidence.
Describe the shift in behaviour - cite your source.



3. Find the industry trend

How are businesses in this industry responding to that shift?
What are competitors or new entrants doing differently?
Same shift - supply side. These two trends are connected.



4. Find the gap and propose actions

What do consumers now expect that businesses are NOT yet delivering?
What product, service, or business model change is needed? what does the industry need to rethink?

15 min research + discuss -> 5 min share Key: name your consumer AND industry trend - show they are two sides of the same shift

หนีความวุ่นวายไปให้ธรรมชาติบำบัด ณ หมู่บ้านห้วยน้ำ

https://www.mandala-analytics.com/cosmostrend/

Mandala AI. COSMOS Credit Account & Settings EN

Ripples Discover Now EARLY ACCESS Facebook Instagram YouTube TikTok BETA News X (Twitter) How to use

Highlight Interests All Arts & Crafts / Literature

Period: 1 Day Country: Global Language: All Type: All Keyword & Hashtag: Select Topic: Select Sort by: Engagement / ... Auto Refresh: Quick Search

Global Thailand United States Mexico Spain

Beauty and Personal Care Business and Career Cleaning and Waste Management Clothing / Fashion

Prince Harry inherits \$10 million from royal family on 40th birthday

1000 BOTTLES OF BABY OIL & LUBRICANT WERE CONFISCATED FROM DIDDY'S HOMES

therock 16 hours ago 676.9K 4.9K

rap 14 hours ago The indictment against #Diddy

Prince Harry inherits \$10 million from royal family on 40th birthday

Michael Scarn @ReggieC6 I looked at my parents and sighed...

memezar 17 hours ago

foxnews 19 hours ago 'MULE' MUSCLE: Tech CEO who went viral for pro-Trump email

ข่าวเร็กซ์พวย... 20 hours ago

Business Finance International News Sports & Recreation Movies Charity Public & Social Services Weather Health Shopping People Foods Beauty Electronics Technology Home Clothing & Fashion See more Upgrade

Reset Filter Apply Filter

Engagement 13.2K

Mandala Growth 0.00% Mandala Average 0.00%

Gas prices have plummeted about 13% from a 2024 peak in April, according to AAA data

ABC News 7 hours ago

Trendspotting, analyzing, tracking

The process of predicting trends before they enter the mainstream, while also analyzing whether or not that trend is relevant to your business.

- Keep up with current trends in your industries
- Explore various trends that can affect consumers' lifestyle, behavior
- Aware of trends from other industries and other countries
 - outdoor living/nature connection– fitness with green design and outdoor zone
 - healthy living and preventive healthcare- hospital with gym, mental training
 - work anywhere, healthy living – multi-purpose hotel with wellness center (kids' club, meditation center)
 - stay-at-home-casual - fashion + comfort
 - mental wellbeing - cafe + extra activities + mental consult
 - experience > possession = bookstore --> education center
- Consider what trends have the potential to have the large impact on your business. Shortlist those trends.
- How likely it is to impact the business?
- How long will the trend persist?
- How will it change consumer behavior in ways that might affect the markets?
- How is it important (magnitude of change/impact)?
- Tracking trends can mean two things: Monitoring the interests and conversations of consumers over time, and watching the performance of your brand.

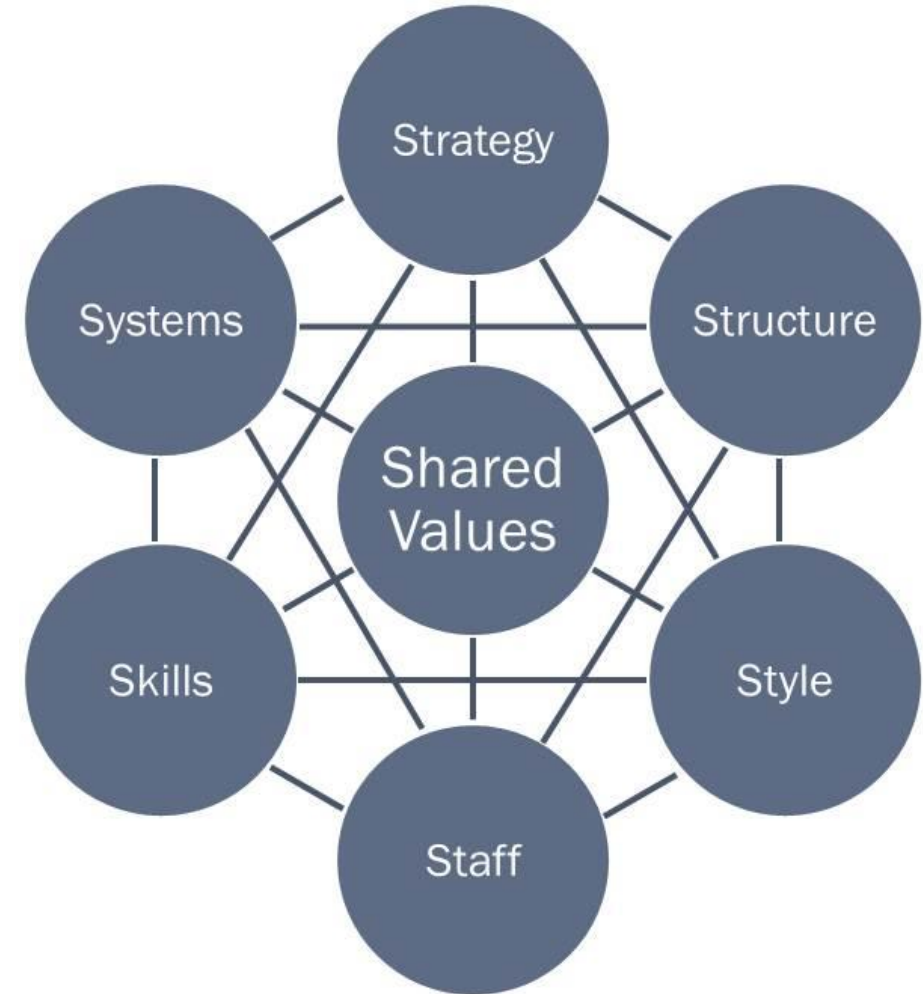
Just because you understand customer's needs doesn't mean that you can satisfy them – at a profit

It's **organization & collaborators' capabilities** determine what you can do for customers.

Company Analysis

Strength
→
Weakness

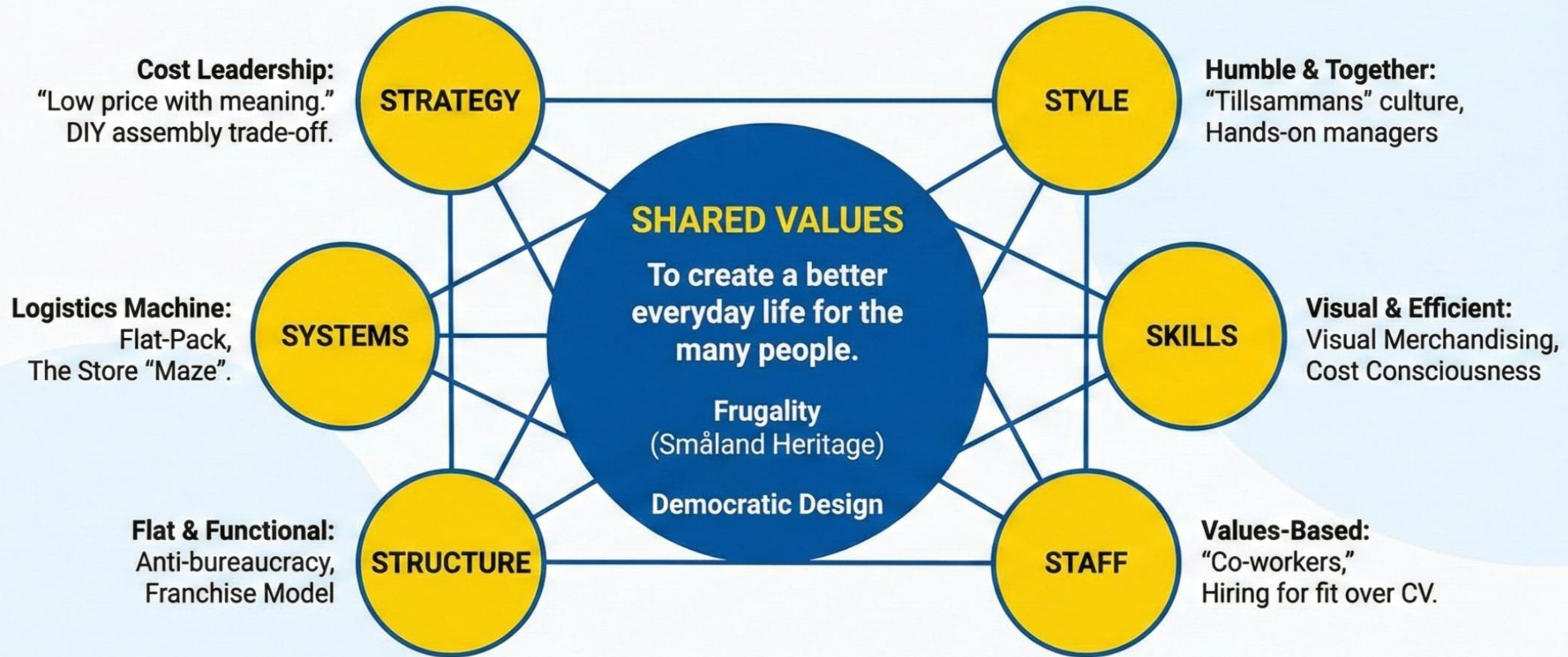
- What special skills, competencies, and assets does the organization bring to the task of creating value to customers such that it's hard for competitors to imitate?
- How is your business going?
- What unique position do we have in the marketplace?
- What are organizational factors affecting the firm's performance?



McKinsey 7S

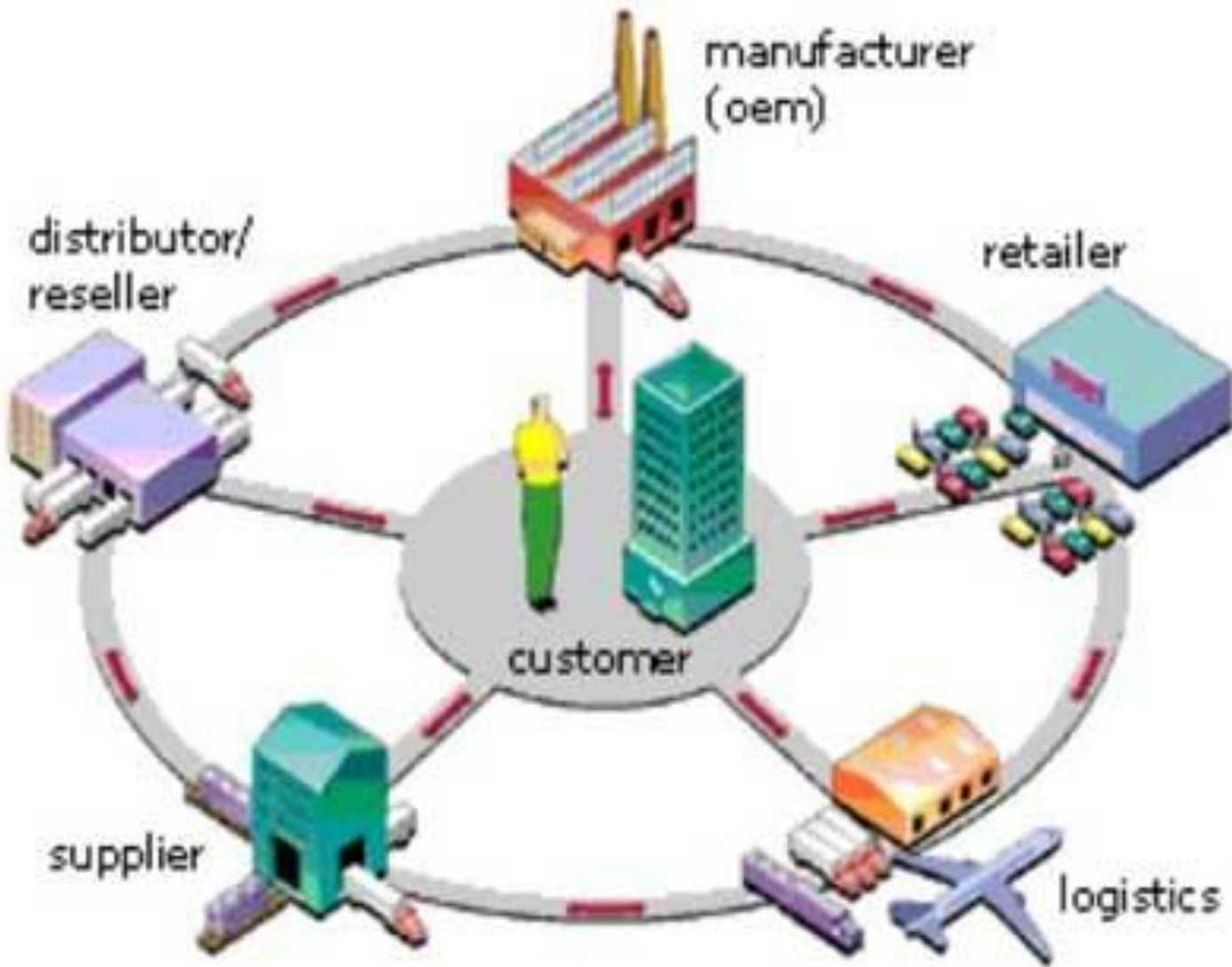
The “Alignment” Secret: IKEA 7S Analysis

Why IKEA works: Perfect alignment between ‘Hard’ mechanics and ‘Soft’ culture.



Strategic Insight: IKEA’s success isn’t just the flat-pack (System). It’s the **staff** (Soft S) believing **frugality is a virtue** (Shared Value), which **drives the cost leadership (Strategy)**. You cannot copy one without the others.

Collaborator Analysis (suppliers and intermediaries)



- Analyzing external assets that can complement those of a company
 - Identifying partners within and across industries a firm should work with
 - Soliciting and motivating partners to participate and work in line with the company's strategy
-

For the first time.
Get 3 months of **Apple TV+** free
on your Samsung TV.

Watch award-winning series and films with
new Apple Originals added every month.



Just open **Apple TV** to redeem.



Offer available with Samsung TVs on 2021 models. Offer ends November 28th, 2022. Valid only for new subscribers to Apple TV+ in your region. Age 18+ limit one offer per TV and Apple ID. Plans automatically renew at your region's price per month until cancelled. Requires Apple ID with payment method on file. Terms and Apple Privacy Policy apply. See the applicable terms at <https://www.apple.com/legal/privacy/2017/apple-tv>. Corporate products and services requires. Cannot be combined with other offers providing access to the same service. Apple TV+ is a registered trademark of Apple Inc. Apple is not a participant or sponsor of this promotion.

MERGER CONFIRMED

HONDA
The Power of Dreams

NISSAN
MOTOR CORPORATION



Coopetition (a blend
of **cooperation** and **competition**) is a business
strategy where rival
companies work together
on some initiatives for
mutual benefit while still
competing in other areas,
creating shared value or
expanding markets that
neither could achieve
alone

[FUTURECRAFT.FOOTPRINT]

MADE TO FIT THE PLANET

*EVERY STEP MEASURED, CRADLE TO GRAVE: 63% LESS EMISSIONS. 100% PERFORMANCE.



SHOE MAKING

NATURAL OR RECYCLED MATERIALS. CARBON-LIGHT MANUFACTURING TECHNOLOGIES AND MULTI-FUNCTIONAL DESIGN.

2.16 kg CO₂e/pair



PACKAGING

THE REIMAGINED SHOE BOX MEANS LESS WASTE, WEIGHT AND EMISSIONS

0.32 kg CO₂e/pair

TRANSPORTATION

SEA FREIGHT OVER AIR FREIGHT WHEREVER POSSIBLE. RUN ON BIOFUEL.

0.09 kg CO₂e/pair



TIER 1 MANUFACTURING AND ASSEMBLY MOVED TO RENEWABLE ENERGY

MIDSOLE
18% SUGARCANE BIOBASED ALLBIRDS SWEETFOAM®
AND 82% ADIZERO LIGHTSTRIKE EVA

NO DYE COLOR
USING LOW ENERGY AND LOW WATER PROCESSES

OUTSOLE
10% NATURAL RUBBER

EMBROIDERY REINFORCEMENT
100% RECYCLED POLYESTER

UPPER
30% TENCEL, 70% RECYCLED POLYESTER

EMBROIDERED TOE BOX, MIDFOOT AND HEEL REINFORCEMENT
100% RECYCLED POLYESTER

UPPER / SOLE
TANGRAM LESS WASTE PRINCIPLE

MIDSOLE
CARVED FOR MIDFOOT SUPPORT EXACTLY AND ONLY WHERE NEEDED

0.37 kg CO₂e/pair



END OF LIFE

CONSERVATIVE ESTIMATE BASED ON OUR DISTRIBUTION AND DIFFERING WASTE MANAGEMENT GLOBALLY: 70% LANDFILL, 30% INCINERATION.

USE

RUNNERS THAT FOLLOW OUR LEAD AVOID WASHING SHOES IN MACHINES.



0.00 kg CO₂e/pair



allbirds

IMPOSSIBLE IS NOTHING

*MEASURED AGAINST A COMPARABLE RUNNING SHOE - ADIZERO RCT AT 786KG CO₂E PAIR.

IKEA's collaborators

- >445 IKEA stores in 55 countries
- Almost all stores operate under franchise agreement by 12 franchisees
 - The majority of the products are part of the standard range, but 20% with local tastes in mind.
 - Franchisees must demonstrate its ability to establish and operate IKEA stores nationally. They are evaluated based on thorough retail experience, extensive local market knowledge and presence, corporate culture and values, and financial strength
- More than 1,800 suppliers in 55 countries, with over 600,000 workers.



IWAY Standard

**Minimum Requirements for Environment and Social & Working
Conditions when Purchasing Products, Materials and Services.**

- No child labor, No forced or bonded labour, No discrimination, Freedom of association, minimum wages and overtime compensation, safe and healthy work environment, preventing pollution to air, ground and water and work to reduce energy consumption.

Inside IKEA's Ecosystem: A 5C Analysis

Customers

IKEA engages in a continual cycle of research, including over 5,300 home visits globally, to understand lifestyles, dreams, and challenges at different life stages (first home, new kids, etc.).



Competitors

Operates at the low-end, competing with mass-market players like **Walmart** and powerful e-commerce platforms like **Wayfair** and **Amazon**. Also faces new competition in the smart home space from **Google** and **Samsung**.



Collaborators

A network of 12 franchisees operating stores globally. Over 1,800 suppliers in 55 countries held to the strict 'IWAY' standards for environmental and social conditions.



Company

Core business model based on cost-effective, DIY flat-pack furniture, a unique in-store experience, and a strong brand identity built on affordability and design.



Climate

As analyzed in the PESTLE section, IKEA adapts to macro-trends like urbanization, sustainability, and e-commerce growth.



5C Analysis

INTERNAL

Company



- Strengths and Weaknesses
- Goals and Objectives
- Culture
- Resources, including technology, experience and skills

7S
MODEL

EXTERNAL

Customers



- Market size, segments
- Purchasing habits, trends and buying process
- Overall customer satisfaction
- Perceived value by customers



Competitors



- Current and prospective
- Strengths and weaknesses
- Opportunities and threats
- Products and market share

5 FORCES

Collaborators



- Suppliers
- Distributors
- Alliances and Partners

Climate (environment)



- Regulations and government oversight
- Social and cultural
- Business cycle, inflation and other economic factors
- Legal
- Technology

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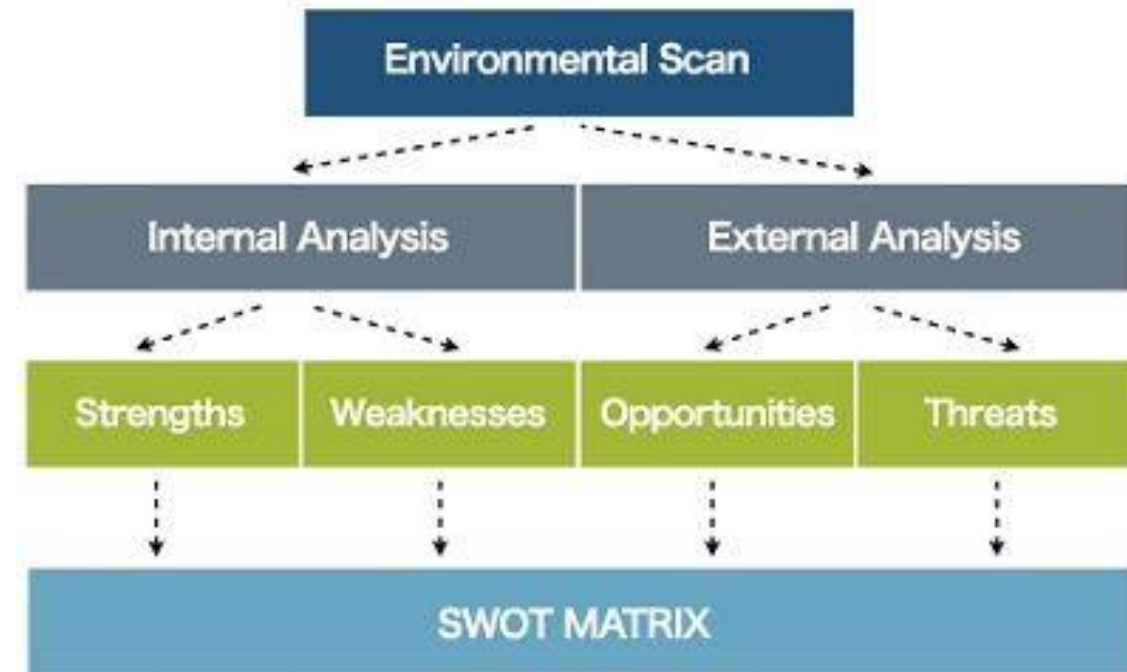
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From Analysis to Insight: Synthesizing Your Findings with SWOT

SWOT analysis is a strategic tool that synthesizes the findings from your environmental scan. It helps identify the potential impact of changes and informs the appropriate marketing strategy.



Turning Insight into Action: The TOWS Strategic Alternatives Matrix

A SWOT analysis is only useful if it leads to action. The TOWS Matrix is a framework for creating strategies based on your SWOT findings.

External Factors (O, T)	
Internal Factors (S, W)	SO (Maxi-Maxi) Strategy “Proactive”
	ST (Maxi-Mini) Strategy “Preventive”
Internal Factors (S, W)	Use your strengths to maximize opportunities. <i>This is an attacking strategy.</i>
	Use your strengths to minimize threats. <i>This is a defensive strategy.</i>
Internal Factors (S, W)	WO (Mini-Maxi) Strategy “Corrective”
	WT (Mini-Mini) Strategy “Reactive”
Internal Factors (S, W)	Minimize your weaknesses by taking advantage of opportunities. <i>This is a re-orientation strategy.</i>
	Minimize your weaknesses and avoid threats. <i>This is a survival strategy.</i>

The Navigator's Final Chart: IKEA's TOWS Strategic Matrix

	Opportunities 1. Untapped developing markets 2. Hybrid living trend 3. Smart home growth 4. Eco-conscious consumers	Threats 1. New digital-native competitors 2. Rising material costs 3. Environmental concerns
Strengths 1. Globally recognized brand 2. Cost-effective supply chain 3. Sustainability leadership 4. Omnichannel experience	SO (Proactive) Strategy Leverage flat-pack innovation and digital tools to offer modular, multi-use furniture for urban homes and hybrid lifestyles. Expand into smart home and solar markets. 	ST (Preventive) Strategy Emphasize IKEA's affordability and purpose to counter "fast-furniture" startups. Accelerate omnichannel expansion. 
Weaknesses 1. Inconsistent quality perception 2. DIY barrier 3. Reliance on 3rd-party manufacturing 4. Inconvenient store locations	WO (Corrective) Strategy Develop flat-pack solutions with easier assembly. Add premium product lines to improve quality perception. 	WT (Reactive) Strategy Introduce more small, city-center "click and collect" outlets. Partner with micro-logistics startups to reduce delivery friction. 



External Opportunities (O)

External Threats (T)

Internal Strengths (S)

“Proactive”

“Preventive”

Internal Weaknesses (W)

“Corrective”

“Reactive”





External Opportunities (O)

1. Untapped emerging market (Africa, parts of Asia) with the rise of the middle class
2. A variety of digital technologies to enhance customer convenience and operational efficiency.
3. Plant-based and functional food demand

External Threats (T)

1. Health conscious customers
2. Competition from both global and local brands and healthy fast casual rivals
3. Rising food & labor costs; inflation
4. Government regulations on health, sugar, and packaging waste

Internal Strengths (S)

1. The world's largest restaurant chain in terms of sales. The most recognizable brand.
2. Global presence. 2nd-largest restaurant network in 120 countries
3. A large supply chain comprising thousands of independent suppliers
4. Operational efficiency & franchise model and consistency of quality/service worldwide

"Proactive"

- Strategically expand into undeveloped markets in Europe, Asia, Middle East, and Africa using digital technologies
- AI-powered vending machines to offer personalized McDonald's food/drink more easily and gamified rewards
- Launch localized plant-based menus using kitchen efficiency

"Preventive"

- As McDonald's has a large set of suppliers, this could help with menu innovation and quality
- Use tech/data from loyalty programs to compete with agile local players
- Leverage global scale to negotiate better sourcing amidst inflation

Internal Weaknesses (W)

1. Overdependent on franchisees operating >90% of its business.
2. Dissatisfied franchisees and employee turnover
3. Limited variety for health-conscious or dietary-restricted consumers and perception of unhealthy, imbalanced meal (lots of chicken, bacon)

"Corrective"

- Introduce more health-conscious menu items to improve brand perception.
- Partner with health influencers or startups for functional food & localized innovation
- Enhance digital platforms to streamline ordering/delivery, improve digital ordering UX for niche diets (vegan, halal, low-carb)
- Strengthening mobile presence can help reduce such dependency and creating an easier and quicker payment option.

"Reactive"

- Implement standardized training programs across franchises to reduce service inconsistencies.
- Menu and process innovation to meet local demand. Address limited menu perception by rotating seasonal items

Recap: Environment Scanning and Adaptation



Exercise 1 for your market

- PESTLE scan of your chosen industry
- Find changes + evidence for each factor
- Top factors + threat/opportunity



Exercise 2 for your market

- 4C Customer scan using social media
- Find specific micro consumer/industry trends
- Name the gap = your business opportunity



SWOT to TOWS to positioning

- O + T from external analysis
- S + W from internal analysis
- TOWS becomes your strategic responses